

distinction is unavailing. The agreement allows for disclosure on a court order but the requirement of seeking a court order concerning an arbitration that is supposed to have its very existence kept secret still restricts informal information gathering and enables elder abusers to more easily reoffend. (*Haydon* at p. 1290 [reasons confidentiality unconscionable in elder abuse arbitration].)

The instant case does not feature every unconscionable term seen in *Haydon*, however. *Haydon* finds unconscionable an arbitration agreement's provision that each side will pay its own costs and fees, another factor present in the agreement before this court. (*Haydon*, *supra*, 97 Cal.App.5th at p. 1291.) Further, *Bickel v. Sunrise Assisted Living* (2012) 206 Cal.App.4th 1, 10-13 (*Bickel*) states that a provision in an arbitration agreement holding that both sides will bear their own fees and costs in an elder abuse case is functionally an unenforceable and unconscionable waiver of the right to recover attorneys' fees in elder abuse cases. However, *Haydon* hinged its finding that the fees and costs provision was unconscionable as applied on evidence presented that JAMS charges high amounts for its services and the plaintiff had severely restricted income and limited assets. Plaintiffs here do not present such evidence. As for *Bickel*, that provision flatly stated that the parties would bear their own expenses while the provision before the court now says they will do so "unless otherwise provided by law," thus allowing for recovery of attorneys' fees on an elder abuse claim per the law.

In summary, the arbitration agreement under analysis features some procedural unconscionability matching some factors identified in *Dougherty*. The arbitration agreement also features a high degree of substantive unconscionability matching many of the most serious factors identified in *Lopez* and *Haydon*. There is sufficient procedural unconscionability paired with very significant substantive unconscionability such that the arbitration agreement is unenforceable as a whole. The court finds severance is not appropriate in these circumstances because the agreement is permeated with unconscionable purpose. (*Dougherty*, *supra*, 47 Cal.App.5th at p. 107.)

Conclusion. Moving Defendants' motion to compel arbitration is denied.

BEASLEY v. SELENE FINANCE, L.P., et al.
Case No. cu26-03170

Demurrer by Defendant MOREHOUSE HOMES, INC. to Plaintiff's Complaint

TENTATIVE RULING

The nonjudicial foreclosure process is designed to give the borrower(s) time and opportunity to cure and/or stop the sale for good cause, but if completed is conclusive to give superior rights to a bona fide purchaser for value. Moeller v. Lien (1994) 25 Cal.App.4th 822, 830-832.

Upon delivery to the purchaser of a trustee's deed containing the standard recitals, the conclusive presumption of the transfer of title rights is completed.

It does not matter if the purchase was made for far lower than market value, as long as some value was paid.

Where there is no irregularity in a nonjudicial foreclosure sale and the purchaser is a bona fide purchaser for value, a great disparity between the sales price and the value of the property is not a sufficient ground for setting aside the sale. Id. at 832.

A bona fide purchaser "is one who pays value for the property without notice of any adverse interest or of any irregularity in the sale proceedings." Melendrez v. D & I Investment, Inc. (2005) 127 Cal.App.4th 1238, 1250.

All that is required to qualify as a bona fide purchaser is payment of some significant amount, and lack of notice of irregularity. Id. at 1251-1252.

Plaintiffs' complaint admits payment of some significant amount, and that MOREHOUSE acquired the rights transferred through the trustee's sale.

Plaintiffs' complaint contains no allegations that could negate the presumption that MOREHOUSE is a bona fide purchaser, nor does the opposition filed by one of the Plaintiffs.

The court therefore sustains the demurrer by MOREHOUSE to the complaint, without leave to amend.

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